

GZ: 2023-0.637.760 dated December 7, 2023 (Case Number: DSB-D550.705)

[Note from the editor: Names and companies, legal forms and product designations, addresses (including URLs, IP and email addresses), file numbers (and the like), etc., as well as their initials and abbreviations may have been abbreviated and/or altered for pseudonymization reasons. Obvious spelling, grammar, and punctuation errors have been corrected.]

Administrative Decision

Accused legal entity: H**** Non-Profit Housing AG (FN 1*5*9* r)

The accused legal entity based in **** R***stadt, W***straße 1*-5* (hereinafter referred to as "H****"), has, as the responsible party according to Art. 4 No. 7 of Regulation (EU) 2016/679 on the protection of natural persons in the processing of personal data, on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation, hereinafter: "GDPR"), OJ No. L 119 of May 4, 2016, p. 1, as amended, realized the following facts and thereby committed the following administrative offenses:

The Data Protection Authority repeatedly requested H**** as a party to the proceedings or as the respondent in the complaint procedure under GZ: D124.5263, specifically by letters dated:

- November 17, 2021 (first request for a statement, GZ: D124.5263 - 2021-0.803.344), sent by post on the same day to the registered office of the accused legal entity at "**** R***stadt, W***straße 1*-5*",
- April 11, 2022 (first reminder letter, GZ: D124.5263 - 2022-0.260.991), sent on the same day by registered mail to the registered office of the accused legal entity,
- June 3, 2022 (second reminder letter, GZ: D124.5263 - 2022-0.408.549), sent on June 9, 2022, by email to the email inbox of the Data Protection Officer of the accused (Erwin.L***@***mail-it.org), to provide a statement in the complaint procedure and expressly pointed out each time the obligation to cooperate according to Art. 31 in conjunction with Art. 58 para. 1 lit. a and e GDPR as well as the possible initiation of an administrative penalty procedure (in case of lack of cooperation). After the first reminder letter dated April 11, 2022, the responsible caseworker of the Data Protection Authority called the Data Protection Officer of the accused on June 3, 2022, and informed him about the ongoing complaint procedure and the lack of cooperation from the accused. The Data Protection Officer was specifically informed that the Data Protection Authority had already requested the accused to provide a statement twice and that no statement had been received by June 3, 2022. The Data Protection Officer argued that there were internal problems with forwarding and that the Data Protection Authority should send him the request for a statement directly by email (Erwin.L***@***mail-it.org). Subsequently, on June 9, 2022, the request for a statement was sent to the specified email address.

However, the accused did not respond to any of the request letters from the Data Protection Authority until the resolution of the complaint procedure with the decision dated July 7, 2022 (GZ: D124.5263 - 2022-0.484.999).

In light of this, the following arises:

H****, in its role as the responsible party according to Art. 4 No. 7 GDPR, violated its obligation to cooperate with the Data Protection Authority (as the competent supervisory authority) according to Art. 31 GDPR from November 17, 2021, to July 7, 2022, in **** R***stadt, W***straße 1*-5*, by not responding to the requests for a statement outlined above in the context of the complaint procedure. As a result, H****, in its role as the responsible party, did not cooperate upon request from a supervisory authority in fulfilling its tasks.

Administrative offense(s) according to:

Art. 31 in conjunction with Art. 83 para. 1 and 4 lit. a GDPR OJ L 2016/119, p. 1, as amended

Due to this administrative offense(s), the following penalty is imposed according to Art. 83 GDPR:

Fine of Euro

€ 10,000

according to

Art. 83 para. 4 lit. a GDPR OJ L 2016/119, p. 1, as amended

Furthermore, you are to pay according to § 64 of the Administrative Penal Act 1991 – VStG:

Euro as a contribution to the costs of the penalty procedure, which is 10% of the fine, but at least 10

Euro;

Euro as compensation for cash expenses for

The total amount to be paid (fine/costs/cash expenses) therefore amounts to

Euro

Payment deadline:

If no appeal is filed, this penalty decision is immediately enforceable. In this case, the total amount is to be paid within two weeks after the decision becomes final to the account [here abbreviated], in the name of the Data Protection Authority. Please indicate the case number and the date of resolution as the purpose of use.

1,000

11,000

If payment is not made within this period, the total amount can be demanded. In this case, a flat fee of five euros must be paid. If payment is still not made, the outstanding amount will be enforced.

Justification:

1. The following relevant facts are established based on the conducted evidentiary proceedings:

1.1. **Regarding the procedural history**

On November 16, 2021, an affected person as the complainant filed a complaint against the accused as the respondent or responsible party with the Data Protection Authority (hereinafter referred to as "DSB") and essentially stated that they consider their right to confidentiality under § 1 para. 1 DSG to be violated due to the processing or disclosure of their personal data during an email sent by the accused on November 9, 2021, to several recipients using an open distribution list. This led to the disclosure of their personal data to all interested parties in connection with a property viewing of a property in **** R***stadt, P***platz 3*.

In response, the accused was initially requested by the DSB in the procedure under GZ: D124.5263 to provide a statement by a letter dated November 17, 2021. The first request for a statement (hereinafter referred to as "AzS") was sent the same day by mail to the registered office of the accused legal entity in **** R***stadt, W***straße 1*-5*.

The accused did not respond to the AzS dated November 17, 2021.

Subsequently, the DSB again requested the accused to provide a statement in the complaint procedure with a reminder letter dated April 11, 2022. The first reminder letter was delivered to the accused by registered mail at their registered office.

The accused also did not respond to the reminder letter dated April 11, 2022.

Furthermore, on June 3, 2022, the responsible caseworker of the DSB spoke by phone with the Data Protection Officer of the accused (hereinafter referred to as "DSBA") and informed him about the ongoing complaint procedure and the lack of cooperation from the accused. The DSBA was specifically informed that the DSB had already requested the accused to provide a statement twice and that no statement had been received by June 3, 2022.

The DSBA argued that there were internal problems with forwarding and that the DSB should send him the request for a statement directly via email (Erwin.L***@***mail-it.org).

The affected person had already informed the DSBA about the matter before filing the complaint with the DSB by sending an email with attachments to the mentioned email address on November 10, 2021.

Subsequently, on June 9, 2022, the second reminder letter was sent to the specified email address of the DSBA. There was no error message related to the delivery of the email. The DSBA did not inquire with the DSB about the delivery of the discussed AzS or inform the DSB that he had not received any email message from the DSB. The DSBA also did not make any further contact with the DSB or respond in any form to the letter.

The domain "@***mail-it.org" is used by H**** Wohnen & IT GmbH, FN 4*4*5*w (hereinafter referred to as "H****IT"). This is a 100% subsidiary of the accused. H****IT provides the entire IT infrastructure for the accused and the H**** group and offers various IT services in this context. The DSBA was employed by H****IT and held the role of Data Protection Officer for the entire H**** group during the

relevant period.

The previously sent reminder letter (prior to the email to the DSBA) was received by the mailroom of the accused and forwarded within the H**** group to H****IT for processing.

The DSB explicitly informed the accused in each instance of the above-mentioned AzS about the obligation to cooperate in accordance with Art. 31 in conjunction with Art. 58 para. 1 lit. a and e GDPR, as well as the possible initiation of an administrative penalty procedure (in the case of lack of cooperation). Nevertheless, H**** did not respond to any of the DSB's requests.

Therefore, the DSB had to handle the complaint of the affected person without the cooperation of the accused and determined by decision dated July 7, 2022, that the accused violated the affected person's right to confidentiality.

****Assessment of Evidence:**** The findings are derived from the review of the administrative file regarding the above-mentioned complaint procedure. The lack of response to the mentioned AzS was attributed to the accused in the context of the request for justification in the present administrative penalty procedure. The accusation was not disputed by the accused. In this context, they admitted that due to internal problems, the recording of deliveries and, in particular, the forwarding of official documents to the responsible department or employees of the accused, as well as internal communication in

****Tatzeitraum nicht ausreichend funktionierte.**** Die mangelnde Reaktion ist laut schriftlicher Rechtfertigung der Beschuldigten auf diese Umstände innerhalb der Organisation der Beschuldigten zurückzuführen. Daher habe die Beschuldigte die Einleitung des Verwaltungsstrafverfahrens zum Anlass genommen, die internen Prozesse zu überprüfen, um derartige Verfehlungen künftig zu vermeiden. Die Beschuldigte räumte den Vorwurf somit zur Gänze ein. Die Beschuldigte erstattete kein Vorbringen, das im Widerspruch zu den getroffenen Feststellungen stehen würde.

Die Feststellungen betreffend Telefonat des Sachbearbeiters der DSB mit dem DSBA stützen sich auf einen internen Aktenvermerk vom 05.07.2022 zum Telefonat, der sich sowohl im Verwaltungsstrafakt als auch im Verwaltungsakt zum Beschwerdeverfahren befindet. Darüber hinaus wurde dies von der Beschuldigten auch nicht bestritten. Die Beschuldigte konnte lediglich nicht nachvollziehen, weshalb eine weitere Bearbeitung durch den DSBA nicht erfolgte und räumte ebenfalls ein Fehlverhalten des DSBA ein.

Die Feststellungen in Bezug auf die Tätigkeiten/Dienstleistungen der H****IT und des DSBA sowie Zugehörigkeit zur H****-Gruppe ergeben sich aus den eigenen Angaben der Beschuldigten im Rahmen ihrer schriftlichen Rechtfertigung und sind somit ebenfalls unbestritten. Auch die Feststellung in Bezug auf die interne Weiterleitung des Urgenzschreibens an H****IT zur Bearbeitung beruht auf die eigenen Angaben der Beschuldigten.

Die DSB hat in Folge mit Schreiben vom 27.07.2022 das gegenständliche Verwaltungsstrafverfahren gegen die Beschuldigte eingeleitet und ihr die mangelnde Mitwirkung im oben genannten Beschwerdeverfahren vorgeworfen. Zudem wurde die Beschuldigte aufgefordert, ihren Umsatz bekanntzugeben.

In Reaktion darauf brachte die Beschuldigte am 30.08.2022 eine schriftliche Rechtfertigung ein und führte im Wesentlichen aus, dass sie die mangelnde Mitwirkung vollumfänglich eingesteht und führte ins Treffen, dass dies auf interne Mängel im Zusammenhang mit der Weiterleitung von Schriftstücken an die zuständige Abteilung und nicht ausreichend funktionierende Kommunikation zurückzuführen war. Darüber hinaus führte sie aus, dass sie die Einleitung des Verwaltungsstrafverfahrens zum Anlass genommen hat, um die nachstehenden Maßnahmen zu ergreifen, damit künftig derartige Verfehlungen vermieden werden (die von der Beschuldigten ins Treffen geführten Maßnahmen werden als erwiesen angenommen):

1. Die Beschuldigte beauftragte eine auf Datenschutzrecht spezialisierte Rechtsanwaltskanzlei für die Vertretung und Mitwirkung im Verwaltungsstrafverfahren sowie darüber hinaus für die Durchführung eines internen „Datenschutz-Audit“, um das Datenschutz-Managementsystem der Beschuldigten einer rechtlichen Überprüfung zu unterziehen. Zudem wurden neben der Pflicht zur Mitwirkung auch weitere Pflichten der Beschuldigten in ihrer Rolle als Verantwortliche wie das Führen eines

Verarbeitungsverzeichnisses nach Art. 30 DSGVO geprüft. Die externen Berater prüften zudem die Prozesse und Strukturen zur Wahrung von Meldepflichten und Gewährleistung von Betroffenenrechten. Durch diese Überprüfung sollten allfällige Mängel bzw. Lücken im Datenschutz-Management-System aufgezeigt werden. Mit anderen Worten: Die Beschuldigte nahm durch die Heranziehung externer Berater eine vollumfängliche Überprüfung ihrer datenschutzrechtlichen Pflichten als Verantwortliche vor, um allfällige Mängel zu erkennen.

2. Die externen Berater führten für die Mitarbeiter der Beschuldigten eine interne (datenschutzrechtliche) Schulung durch, die insbesondere die Wahrung von Betroffenenrechten und den Umgang mit Meldungen von Datenschutzverletzungen zum Inhalt hatte.

3. Die Beschuldigte veranlasste, dass mehrere Führungskräfte aus verschiedenen Fachbereichen (Hausverwaltung, Rechtsabteilung, interne Revision und Vertrieb) im September 2022 an mehrtägigen (datenschutzrechtlichen) Seminaren teilnahmen.

4. Die Position des Datenschutzbeauftragten der Beschuldigten wurde nach Einleitung des Verwaltungsstrafverfahrens neu an eine Juristin innerhalb ihrer Rechtsabteilung vergeben. Es wurde vorgesehen, dass die neue DSBA in ca. dreimonatigen Abständen die Vorstandsmitglieder der Beschuldigten über die relevanten datenschutzrechtlichen Themen im Unternehmen und über aktuelle Entwicklungen im Datenschutzrecht berichtet.

5. In Reaktion auf den gegenständlichen Vorwurf der mangelnden Mitwirkung im Beschwerdeverfahren haben die Vorstandsmitglieder der Beschuldigten ein „Sicherheitssystem“ im Zusammenhang mit der Bearbeitung von behördlichen Schriftstücken beschlossen. Dieses System sieht vor, dass sämtliche RSa- und RSb-Briefe nach Erfassung im „Posteingangsbuch“ ungeöffnet an die Rechtsabteilung weitergeleitet werden zur Bearbeitung. Die Öffnung und erste „grobe Sichtung“ erfolgt in Folge durch einen Mitarbeiter der Rechtsabteilung, um die Weiterleitung an die zuständige Abteilung zu gewährleisten.

Daraufhin hat die DSB mit Bescheid vom 31.08.2022 das gegenständliche Verfahren gemäß § 24 VStG iVm § 38 AVG bis zur rechtskräftigen Entscheidung durch den Gerichtshof der Europäischen Union (EuGH) in der Rechtssache C-807/21 (Deutsche Wohnen SE) ausgesetzt und den Bescheid am 08.09.2022 per E-Zustellung an die Beschuldigtenvertreterin zugestellt. Die Beschuldigte brachte gegen diesen Aussetzungsbescheid eine Beschwerde ein und führte hierzu ins Treffen, dass das Verwaltungsstrafverfahren nicht ausgesetzt, sondern aufgrund der ergriffenen Maßnahmen eingestellt hätte werden müssen. Daher seien die Antworten des EuGH im konkreten Fall irrelevant. Durch die Beschwerde wollte die Beschuldigte einen

****Avoiding "Suspended State" and Achieving a Decision Either by the DSB in the Context of a Preliminary Decision on Complaints or by the Federal Administrative Court (BVwG) through a Ruling.**** The DSB refrained from issuing a preliminary decision on the complaint and submitted the case to the BVwG on October 13, 2022. An oral hearing took place at the BVwG on January 11, 2023. The complaint procedure is currently pending under file number: W258 2260869-1.

By letter dated December 5, 2023, the DSB lifted the suspension order of August 31, 2022, ex officio and continued the administrative fine procedure - taking into account the judgment of December 5, 2023, of the CJEU in Case C-807/21. The Federal Administrative Court was also informed of the lifting of the suspension order.

****Assessment of Evidence:**** The findings are derived from the components of the administrative fine file, particularly from the written justification of the accused. The measures identified, which were taken by the accused in response to the initiation of the administrative fine procedure, are based on the accused's own statements. There were no indications during the investigation that these measures were not actually taken. The accused additionally offered to provide further evidence to substantiate their claims regarding the measures taken. The findings related to the complaint against the suspension order and the pending complaint procedure arise from the examination of the administrative file concerning the complaint procedure under file number: D062.2187 or the court file of the BVwG under file number: W258 2260869-1.

1.2. ****Regarding the Revenue of the Accused****

The accused generated an annual revenue totaling EUR 176.*88.4*1,34.

****Assessment of Evidence:**** The finding regarding the revenue of the accused is based on the accused's own statements in their written justification dated August 30, 2022.

2.

****Legally, this follows:****

2.1. ****Regarding the Jurisdiction of the DSB and the Scope of Application of the GDPR****

Article 83(4)(a) GDPR stipulates that in the event of violations of the provisions of Articles 8, 11, 25 to 39, 42, and 43 GDPR, fines of up to 10,000,000 Euros or, in the case of an enterprise, up to 2% of its total worldwide annual revenue from the previous financial year may be imposed, whichever amount is higher.

According to § 22(5) DSG, the DSB has jurisdiction to impose fines on natural and legal persons for violations of the DSG and the GDPR.

According to Article 2(1) GDPR, the regulation applies to the wholly or partly automated processing of personal data as well as to the non-automated processing of personal data that are stored or are intended to be stored in a filing system.

There are no doubts regarding the existence of processing of personal data within the meaning of Article 4(1) and (2) GDPR, and this was not disputed by the accused. The affected party felt that their right to confidentiality under § 1(1) DSG was restricted by the processing and filed a complaint against the accused with the DSB. The granting of the complaint by means of a decision due to unlawful processing has already become final due to the lack of legal remedies.

The role of the accused as the controller under Article 4(7) GDPR was also not disputed at any time, and there were no indications in the proceedings for a contrary assumption. As the controller, the accused is subject to the relevant obligations of the GDPR. The accused was, in their role as the controller or respondent to the complaint, the subject of several AzS in a complaint procedure according to Article 77 GDPR in conjunction with § 24 DSG. In this context, the accused was specifically subject to the obligation to cooperate with the DSB according to Article 31 GDPR. This provision constitutes a penalized obligation for controllers under Article 83(4)(a) GDPR and will be examined in more detail below.

2.2. ****Regarding the Violation of the Duty to Cooperate in the Complaint Procedure****

Controllers and processors, and where applicable their representatives, must cooperate with the supervisory authority in fulfilling their tasks upon request according to Article 31 GDPR.

From Article 31 GDPR, in conjunction with the powers of the supervisory authorities under Articles 57 and 58 GDPR, both tolerance and cooperation obligations can be derived.

The DSB must monitor and enforce the application of the GDPR throughout the entire Austrian federal territory ("in its jurisdiction") according to Article 57(1)(a) GDPR. This is one of the central tasks of the DSB.

Furthermore, supervisory authorities have the duty under Article 57(1)(f) GDPR to address complaints from affected individuals within their respective jurisdictions, to investigate the subject of the complaint to an appropriate extent, and to inform the complainant within a reasonable time about the progress and outcome of the investigation. There is an obligation to process incoming complaints to the extent of Article 57(1)(f) GDPR. The supervisory authority must address such a complaint.

with all due diligence (see the judgment of the CJEU of July 16, 2020, C-311/18, para. 109 with references).

For the fulfillment of these tasks, both investigative powers and remedial powers are granted to the supervisory authorities (Art. 58 para. 1 and 2 GDPR). The DSB is a supervisory authority within the meaning of Art. 51 GDPR (see also § 18 para. 1 DSG). The GDPR grants the DSB, among other things, the authority to instruct the controller to provide all information necessary for the fulfillment of its tasks (Art. 58 para. 1 lit. a GDPR). This provision, in conjunction with Art. 31 GDPR, thus establishes a duty to cooperate for the addressees of the norms (see also Recital 82 second sentence GDPR). By submitting a complaint in the context of a request for comments, the subject of cooperation is sufficiently defined. Since the supervisory authority does not know the specific circumstances related to the respective processing (challenged or alleged by the data subject), the cooperation of the

(alleged) controller in investigating the facts is particularly necessary at the beginning of an investigation procedure (cf. Bogendorfer in Knyrim, *DatKomm* Art 31 GDPR para. 7). In the event of a lack of cooperation, the Union legislator therefore introduced the possibility of sanctioning in Art. 83 para. 4 lit. a GDPR.

Furthermore, an authority, in light of the national procedural principles according to § 37 AVG, must investigate the relevant facts in the investigation procedure (material truth) and must take the necessary investigative measures *ex officio* according to § 39 AVG. The principle of material truth states that the authority must investigate the actual facts *ex officio* and is not bound by the submissions of the parties in an adversarial procedure. According to the case law of the Administrative Court regarding the principle of *ex officio* investigation in administrative procedures, a party to the proceedings is obliged to cooperate in establishing the relevant facts. The duty to cooperate of a party is particularly important where a fact can only be clarified in cooperation with the party, as the authority is unable to obtain knowledge of circumstances that lie solely within the sphere of the party *ex officio* (cf. *VwGH* May 27, 2019, *Ra* 2019/14/0153).

In this context, reference can finally be made to a judgment of the CJEU in case C-252/21. The CJEU found that the controller of processing bears the burden of proof for compliance with the principles under Art. 5 para. 1 GDPR. This means that the controller must demonstrate, for example, that the data is collected for specified, explicit, and legitimate purposes and is processed lawfully, fairly, and in a transparent manner for the data subject (cf. CJEU of July 4, 2023, C-252/21, para. 95; see also *BVwG* of August 28, 2023, *W245 2255957-1*).

In a recent decision, the CJEU reminded that controllers, in light of their obligations under the GDPR, must not only take appropriate and effective measures but must also be able to demonstrate that their processing activities comply with the GDPR and that the measures taken are effective to ensure this compliance (cf. CJEU of December 5, 2023, C-807/21, para. 38).

In the present case, in light of the established facts, all requests from the DSB were not followed by the accused in the context of the complaint procedure. The lack of cooperation by the accused was not disputed by them. The lack of cooperation was due to internal deficiencies in the operational daily business related to the receipt and forwarding of official documents to the responsible department. Furthermore, the accused cannot understand why their DSBA did not forward or pursue the case after being informed by the DSB.

As a result, the accused did not cooperate with the DSB as the competent supervisory authority in fulfilling its tasks and thereby fulfilled the objective elements of Art. 31 GDPR.

2.3. Regarding the criminal liability of the accused as a legal entity under Art. 83 GDPR

The conditions for imposing fines on both natural persons and legal entities are regulated in Art. 83 GDPR. However, the national legislator has further established "general conditions for the imposition of fines" in § 30 para. 1 and 2 DSG.

According to § 30 para. 1 DSG, the data protection authority may impose fines on a legal entity if violations of the provisions of the GDPR were committed by (natural) persons who acted either alone or as part of an organ of the legal entity and hold a managerial position within the legal entity due to (1) the authority to represent the legal entity, (2) the authority to make decisions on behalf of the legal entity, or (3) a control authority within the legal entity.

Legal entities can also be held responsible for violations of the provisions of the GDPR according to § 30 para. 2 DSG in cases where a lack of supervision or control by a person named in § 30 para. 1 DSG enabled the commission of these violations by a person acting for the legal entity (lack of control and supervision), provided that the act does not constitute a criminal offense falling under the jurisdiction of the courts.

The Administrative Court of Appeal addressed for the first time in its ruling of May 12, 2020, in case *Ro* 2019/04/0229, the applicability of the prerequisites for criminal liability under § 30 of the Data Protection Act (DSG) in a procedure according to Article 83 of the General Data Protection Regulation

(GDPR) and stated in this context that a legal entity cannot act on its own and therefore its liability under § 30 DSG is a consequence of the factual, unlawful, and culpable behavior of a natural (leading) person in the sense of § 30 para. 1 DSG. Accordingly, for the effectiveness of the prosecution action directed against the legal entity, a precise description of the act committed by the natural person (or the so-called "attribution person") is necessary. The attribution of the specific act by the leading person to the legal entity must be included in the ruling, and the attribution person must also be named as an identified natural person (cf. VwGH May 12, 2020, Ro 2019/04/0229, with references). In other words: The data protection authority must name in the ruling of the penalty decision that natural (leading) person whose violation of the GDPR or the DSG is to be attributed to the responsible legal entity in the sense of Article 4 No. 7 GDPR, in order to subsequently impose a fine under Article 83 GDPR against the responsible legal entity. This attribution person is to be treated as an accused in the administrative penalty proceedings against the legal entity and has per se party status (cf. Zaczek, The Corporate Liability Model of Article 83 GDPR, in Jahnel (ed.), Yearbook Data Protection Law 2020, pp. 257 et seq.).

By decision of December 6, 2021, the Berlin Chamber Court requested the Court of Justice of the European Union (CJEU) for a preliminary ruling under Article 267 TFEU regarding the interpretation of Article 83 GDPR in relation to the question of whether a company can be directly affected in penalty proceedings due to a violation of Article 83 GDPR and submitted the following questions in this context:

1. Is Article 83 para. 4 to 6 GDPR to be interpreted as incorporating the functional concept of the company assigned to Articles 101 and 102 TFEU and the principle of functionaries into domestic law, with the consequence that, under an extension of the underlying legal entity principle of § 30 OWiG, a penalty proceeding can be conducted directly against a company and that the imposition of a fine does not require the determination of an administrative offense committed by a natural and identified person, possibly in a fully criminal manner?

2. If the answer to question 1 is affirmative: Is Article 83 para. 4 to 6 GDPR to be interpreted as requiring that the company must have culpably committed the violation mediated by an employee (cf. Article 23 of Regulation (EC) No. 1/2003 of the Council of December 16, 2002, for the implementation of the competition rules laid down in Articles 81 and 82 of the Treaty), or is it sufficient for the imposition of a fine on the company that there is already an objectively attributable breach of duty ("strict liability")?

Through the preliminary ruling request of the Berlin Court of Appeal, it was questionable whether the provisions of § 30 para. 1 and 2 DSG could even be applied, as they might violate the directly applicable provisions of the GDPR, and whether the statements of the VwGH in its aforementioned ruling regarding the criminal liability of legal entities in proceedings under Art. 83 GDPR could be upheld. Since the decision of the CJEU on these preliminary questions had prejudicial effect for the present proceedings, the administrative fine proceedings were suspended.

The CJEU ultimately stated in its judgment of December 5, 2023, that the directly applicable provisions under Art. 58 para. 2 lit. i and Art. 83 para. 1 to 6 GDPR are to be interpreted as opposing a national regulation whereby a fine for a violation mentioned in Art. 83 para. 4 to 6 GDPR against a legal entity in its capacity as a controller can only be imposed if that violation has previously been attributed to an identified natural person.

In this context, the CJEU explained that legal entities are liable not only for violations committed by their representatives, directors, or managers but also for violations committed by any other person acting within the scope of the business activity and in the name of the legal entity. Furthermore, it must be possible to impose the fines provided for in Art. 83 GDPR directly against legal entities (cf. CJEU of December 5, 2023, C-807/21, para. 44).

The (substantive) requirements for the imposition of fines by supervisory authorities are precisely regulated in Art. 83 para. 1 to 6 GDPR without any discretion for the Member States. The GDPR does not contain any provision stipulating that the imposition of a fine against a legal entity as a controller

depends on a prior determination that the violation was committed by an identified natural person. The GDPR merely grants Member States the possibility/authority to provide requirements for the procedure to be applied by supervisory authorities when imposing a fine, but in no way does it extend to the regulation of substantive requirements that would supplement those in Art. 83 para. 1 and 6 GDPR (cf. CJEU C-807/21, para. 45 et seq.).

The requirements for the imposition of a fine under Art. 83 GDPR by a supervisory authority therefore arise exclusively from Union law. There are no opening clauses in this context for the Member States.

The CJEU pointed out that a national regulation that establishes additional requirements for the imposition of fines under Art. 83 GDPR violates Art. 83 para. 1 GDPR, as it weakens the effectiveness and deterrent effect of fines imposed on legal entities. It must be taken into account that fines are a key element of the GDPR and serve to enforce the objectives of this regulation, ensure the protection of the rights of affected individuals, and guarantee a high level of protection across the Union (cf. CJEU C-807/21, para. 51 and 73). As a result, the CJEU concluded that the requirements for the imposition of a fine under Art. 83 GDPR are conclusively regulated in Art. 83 para. 1 to 6 GDPR (para. 53).

Beyond this question, the CJEU also stated that the term "enterprise" in the sense of Arts. 101 and 102 TFEU (see Recital 150 GDPR) is only relevant for the calculation of a fine imposed under Art. 83 para. 4 to 6 GDPR (but not for the summarized result regarding the first preliminary question). Accordingly, the competition law concept of an enterprise, which encompasses any entity engaged in economic activity regardless of its legal form and the nature of its financing, must be the basis for the decision on the amount of the fine (cf. CJEU C-807/21, para. 53 et seq.). In other words: For the calculation of the fine, the worldwide annual turnover of the economic unit must be taken into account if the addressee of the fine is an enterprise within the meaning of Arts. 101 and 102 TFEU or belongs to such an enterprise.

In this regard, the CJEU, as previously stated by the Advocate General in his conclusions, noted that only a fine whose amount is determined based on the actual or material capacity of the addressee, using the concept of the economic unit, can ultimately fulfill the requirements mentioned in Art. 83 para. 1 GDPR (effective, deterrent, proportionate) (cf. CJEU C-807/21, para. 58 et seq.).

2.4. Regarding the subjective element of the offense

In relation to the second preliminary question, the CJEU has now explicitly confirmed, as already assumed by the data protection authority in its previous case law, that only violations of the provisions of the GDPR that the controller commits culpably, i.e., intentionally or negligently, can lead to the imposition of a fine (cf. CJEU of December 5, 2023, C-807/21, para. 68).

Regarding the subjective element of the offense, it should be noted that the requirement of culpability for the imposition of a fine under Art. 83 GDPR must be interpreted autonomously under Union law and assessed particularly in light of the case law of the CJEU. Also, regarding the preliminary question concerning culpability, the CJEU stated that the Member States were not granted any discretion by the Union legislator for national regulations in this context, as the substantive requirements are conclusively regulated in Art. 83 para. 1 to 6 GDPR (cf. also CJEU of December 5, 2023, C-683/21, para. 64 et seq.).

the existence of a violation of the GDPR and does not require the identification of a specific individual responsible for the violation within the corporate structure.

In summary, the following points are established regarding the current case:

1. It is noted that during the investigation, there were no indications that the violations in question were committed by an individual acting outside the scope of their corporate duties and on behalf of the legal entity.
2. The caseworker from the data protection authority contacted the data protection officer of the accused party and informed him about the lack of cooperation from the accused in the complaint procedure. Previously, other employees of the accused had received the letters or requests from the data protection authority but did not process them. Except for the data protection officer, the

employees were not named to the data protection authority.

3. In this context, the accused admitted some culpability on the part of its employees and its data protection officer. The requests were not answered by the accused due to internal deficiencies in the operational daily business concerning the receipt of official documents, which led to no forwarding of official correspondence to the relevant departments. Furthermore, the accused cannot explain the behavior of its data protection officer, as he did not forward or pursue the case despite being contacted.

4. According to the ruling of the Court of Justice of the European Union (CJEU), it is not necessary for the imposition of a fine on a legal entity that the data protection authority identifies a specific natural person who acted within the scope of the corporate activity and on behalf of the legal entity in its decision, nor to attribute the actions of that person to the legal entity. Therefore, in the present case, it is also not relevant whether and which of the board members or which specific employee of the accused is responsible for the violations in question (internally). As pointed out by the CJEU, it is also not significant whether the board of the accused was aware of the violations. The imposition of a fine under Article 83 GDPR requires...

explicitly no action and not even knowledge on the part of the governing body of the legal entity is assumed (para. 77). The culpability of the accused must therefore not be assessed in this case based on the actions of their externally authorized representatives (here, board members), but can also be judged based on the actions of their employees who do not hold a management position within the meaning of § 30 para. 1 (para. 44). In light of the facts assumed to be proven, the data protection authority therefore assumes a deliberate act by the accused: The employees of the accused received the requests from the data protection authority and, despite the information contained therein that the accused is obliged to cooperate and that lack of cooperation constitutes an administrative offense, these requests from the data protection authority were not processed. Ultimately, the data protection authority also informed the data protection officer of the accused about the pending complaint procedure and the lack of cooperation of the accused. Nevertheless, the accused failed to respond to the request of the data protection authority or to react in any form. There were also no inquiries regarding the discussed delivery of the request to the email address provided by him. Considering these circumstances, the accused seriously considered the realization of the administrative offense in question to be possible and accepted it (*dolus eventualis*). As a result, there is culpability in the form of intent in the present case (Art. 83 para. 2 lit. b GDPR). During the course of the investigation, there were no indications that the accused bore no culpability for the violation of the applicable administrative regulations. The accused could not have been unclear, in light of the case law of the CJEU regarding the unlawfulness of their behavior, regardless of whether they were aware that they were violating the provisions of the GDPR (cf. CJEU C-807/21, paras. 76 and 77; CJEU C-683/21, paras. 81 and 82 with references). Thus, the subjective element of the offense is also fulfilled.

2.5. Regarding the request of the accused for termination pursuant to § 45 para. 1 no. 4 VStG The accused fully admitted the accusation in their written justification but requested the termination of the proceedings pursuant to § 45 para. 1 no. 4 VStG or, alternatively, to issue "only a warning" in accordance with § 11 DSG, citing the measures taken in response to the administrative fine proceedings. In the specific case, the significance of the legally protected interest and the intensity of its impairment by the act, as well as the culpability of the accused...

Defendant is low. A fine is, in any case, not necessary for special preventive reasons.

This view cannot be followed and will be elaborated on below:

With regard to the application of § 11 DSG, it should first be noted that the BVwG has already established that § 11 DSG does not imply a priority for a warning and specifically stated: "A priority of the procedure under § 11 DSG cannot be derived from the systematics and the application priority of the GDPR; concerning a possible attempt to bind the authority (or the court) beyond the GDPR, there is a lack of a corresponding opening clause or authorization in the GDPR" (cf. BVwG of March 2, 2020, GZ: W211 2217212-1).

Regarding the discontinuation of the administrative penal procedure according to § 45 para. 1 no. 4 VStG or the issuance of a reprimand by means of a decision instead of a discontinuation (§ 45 para. 1

last sentence VStG), reference can initially be made to the prerequisites and the relevant case law of the Administrative Court (VwGH): According to the consistent case law of the VwGH, the application of § 45 para. 1 no. 4 VStG requires that the circumstances mentioned there are cumulatively present. Therefore, in order to be able to discontinue the procedure according to this provision or to issue a reprimand in the sense of § 45 para. 1 last sentence VStG, the following must be low: first, the significance of the legally protected interest, second, the intensity of its impairment by the act, and third, the fault of the defendant (VwGH 25.04.2019, Ra 2018/09/0209). Regarding the significance of the legally protected interest, the abstract significance of it is relevant. If the protected legal interest is (particularly) significant, a discontinuation or reprimand is excluded. Therefore, even if the harmful outcome has essentially not occurred, the no. 4 cannot be applied – even with minor fault – if the protected legal interest is abstractly (particularly) significant (VwGH 18.12.2018, Ra 2016/04/0148; Kneihs in Raschauer/Wessely, VStG², § 45 Rz 8).

The provisions of the GDPR serve, according to Art. 1 para. 1 GDPR, to protect natural persons in the processing of their personal data and to ensure the free movement of such data. According to para. 2, the fundamental rights and freedoms of natural persons (in particular their right to the protection of personal data) are to be protected. In the specific case, the core issue is the legal remedies of the affected parties or the right to lodge a complaint with a supervisory authority. The lack of cooperation of the responsible parties in the procedure particularly delays the complaint procedure and restricts the affected parties in their rights. The handling of a complaint in the sense of a grant by the DSB “a limine” without involving the responsible party or granting the right to be heard is – contrary to the assertions of the defendants – inconceivable and procedurally inadmissible. Furthermore, the authority, as already stated, is obliged to investigate the actual facts ex officio and is not bound by the submissions of the parties in an adversarial proceeding. Therefore, even if attachments/evidence are submitted by the affected party during the complaint process, the DSB cannot automatically assume the accuracy and authenticity of the attachments, especially since it does not know the specific circumstances related to the alleged/accused processing.

In connection with the requirements for a discontinuation/reprimand under § 45 para. 1 no. 4 VStG, the case law of the VwGH must also be taken into account, which refers to the significance of the criminally protected legal interest based on the penalty ranges established by the legislator. The value of a legal interest that has been impaired/infringed by a violation of a norm is thus also expressed in the amount of the statutory penalty range set by the legislator for corresponding violations. The VwGH assumed in relation to § 99 para. 3 lit. a StVO (with a penalty range for a fine of up to EUR 726) that the significance of the criminally protected legal interest is not low (cf. VwGH of June 19, 2018, Ra 2017/02/0102).

In the present case, the Union legislator - due to the importance of the involvement of responsible parties in conjunction with the systematics of the GDPR (Art. 5 para. 2 GDPR) - has included the obligation under Art. 31 GDPR in the catalog of penal provisions of the regulation according to Art. 83 para. 4 lit. a GDPR and provided for fines of up to EUR 10,000,000 or 2% of the total worldwide annual revenue of the previous financial year for violations. Therefore, in this case, the significance of the legal interest protected by the violation of Art. 31 GDPR cannot be classified as low.

Thus, it already fails at the first requirement. It cannot be concluded that the significance of the legally protected interest here is low. There is certainly an abstractly high interest. Whether the intensity of its impairment by the act and the culpability of the accused are low is therefore not relevant and cannot lead to the discontinuation of the proceedings under § 45 para. 1 no. 4 VStG.

Even if the significance of the protected legal interest were classified as low, nothing would be gained for the accused - considering the subjective aspect of the act - (no minor culpability). The DSB informed the DSBA of the accused about the ongoing complaint proceedings and the lack of cooperation to date. Nevertheless, the DSBA failed to pursue the matter further by not at least informing the legal department of the accused or, in particular, not reporting to a board member. In this context, it should be noted that according to Art. 38 para. 3 third sentence GDPR, the DSBA must report directly to the highest management level of the responsible party. However, despite being aware

of the lack of cooperation of the accused and the possibility of initiating an administrative penalty proceeding, the DSBA apparently did not take any further action.

Moreover, due to the fact that the board members did not establish an effective control system regarding the recording and forwarding of official documents and only decided to implement a "security system" after the initiation of the present proceedings, no minor culpability can be assumed.

As noted in the context of the subjective aspect of the act, at least conditional intent is present, as the accused or their employees, despite being informed about the lack of cooperation of the accused in the context of an ongoing complaint procedure with reference to the obligation to cooperate under Art. 31 GDPR, seriously considered it possible that in the event of (further) lack of cooperation, they would commit an administrative offense and consequently an administrative penalty proceeding would be initiated, and they apparently accepted the risk or consequences. Therefore, it ultimately fails to assume that in this case, no minor culpability can be assumed.

3.

Regarding the determination of the penalty, the following should be noted:

According to Art. 83 para. 1 GDPR, the DSB must ensure that the imposition of fines for violations of the provisions of the GDPR subject to sanctions (Art. 83 paras. 4, 5, and 6 GDPR) is effective, proportionate, and deterrent in each individual case. Specifically, Art. 83 para. 2 GDPR states that when deciding on the imposition of a fine and its amount, certain criteria must be duly considered in each individual case.

The Data Protection Authority has applied the EDSA guidelines regarding the calculation of fines under the GDPR (cf. EDPB Guidelines 04/2022 on the calculation of administrative fines under the GDPR, Version 2.1 of May 24, 2023 - hereinafter "Fines Guidelines") in the context of the present penalty assessment.

The determination of the penalty within a statutory penalty range is a discretionary decision that must be made according to the criteria established by the legislator (cf. VwGH September 5, 2013, 2013/09/0106).

According to § 19 para. 1 VStG, the basis for determining the penalty is the significance of the legally protected interest and the intensity of its impairment by the act. Furthermore, according to the purpose of the penalty, the relevant aggravating and mitigating factors, insofar as they do not already determine the penalty, must be weighed against each other.

to weigh. Special attention must be paid to the extent of culpability. Considering the nature of administrative criminal law, §§ 32 to 35 of the Criminal Code shall be applied *mutatis mutandis*. The income and asset situation and any maintenance obligations of the accused shall be taken into account when determining fines (this naturally applies only to natural persons but can be applied *mutatis mutandis* to legal persons); however, this is only to the extent that the provisions of the GDPR that are directly applicable do not displace the provisions of the VStG and to the extent that is ordered by Art. 83 para. 8 GDPR and Recital 148 with regard to the procedural guarantees to be ensured.

By virtue of Art. 83 para. 3 GDPR, it is stipulated, deviating from the cumulation principle defined in § 22 para. 2 VStG, that in cases of the same or linked processing operations, through which multiple provisions of the GDPR are intentionally or negligently violated, the total amount of the fine shall not exceed the amount for the most serious violation. Thus, within the scope of this provision, the absorption principle applies (comparable to the combination principle defined in Austrian criminal law according to § 28 para. 1 StGB). Otherwise (outside the scope of Art. 83 para. 3 GDPR), the cumulation principle according to § 22 para. 2 VStG applies (cf. with references BVwG 12.03.2020, GZ: W256 2223922-1).

Furthermore, in accordance with Art. 83 para. 1 GDPR, it should be noted that in the context of determining the "total amount of the fine," all violations of the GDPR must be considered under the application of the absorption principle according to Art. 83 para. 3 GDPR. The wording "amount for the most serious violation" refers to the penalty framework or the legally prescribed maximum amounts

(see Art. 83 para. 4 to 6 GDPR). The EDSA stated that within the scope of Art. 83 para. 3 GDPR, other violations cannot be de facto disregarded but must be correspondingly taken into account in the determination of the penalty (cf. Fines Guidelines, Chapter 3 – para. 43). Otherwise, this would lead to a privileging of controllers and processors who have repeatedly violated provisions of the GDPR within the framework of an established set of facts.

The GDPR does not contain any explanations regarding Art. 83 para. 3 GDPR about what is meant by "the same or linked processing operations." Nothing more specific can be derived from the recitals either.

In assessing "the same or linked processing operations," it should be taken into account according to the Fines Guidelines that all obligations necessary for the lawful execution of the processing operations can be considered. The wording (especially in the English version) suggests that the scope of Art. 83 para. 3 GDPR includes any violation that relates to the same or linked processing operations and can affect them (cf. Fines Guidelines, Chapter 3 – para. 27 f). The Federal Administrative Court pointed out in this context that, according to common language usage, cases in which multiple criminal offenses are fulfilled by "one and the same act (processing)" should also be subsumed under this provision and also referred to the English version (cf. with references BVwG 12.03.2020, GZ: W256 2223922-1).

In light of these explanations, the absorption principle according to Art. 83 para. 3 GDPR applies in the specific case. The penalty framework is determined by the most serious violation (penalty framework according to Art. 83 para. 4 GDPR).

According to Art. 83 para. 4 GDPR, in the case of the violations mentioned there, in accordance with para. 2, fines of up to EUR 10,000,000 or, in the case of an enterprise, up to 2% of its total worldwide annual turnover of the preceding financial year shall be imposed, whichever amount is higher.

The accused has, as established, achieved an annual turnover of EUR 176.*88.4*1.34. Applying the Fines Guidelines, the accused is classified in relation to its turnover and with regard to the imposition of an effective, deterrent, and proportionate fine into the category ("Undertakings with a turnover of €100m up until €250m"). This classification duly takes into account the size of the company, particularly to ensure the proportionality of the fine.

The penalty framework in the specific case therefore amounts to a maximum of EUR 10,000,000 (static penalty framework) according to Art. 83 para. 4 GDPR. The dynamic penalty framework (2% of annual turnover) does not apply.

In light of the facts assumed to be proven and considering the nature, severity, and duration of the violation (Art. 83 para. 2 lit. a GDPR [Note by the editor: in the original due to an obvious editorial error "Art. 83 para. 1 lit. a GDPR"]), the intent or negligence of the violation (Art. 83 para. 2 lit. b GDPR), as well as the categories of personal data affected by the violation (Art. 83 para. 2 lit. g GDPR), the data protection authority determines the severity of the infringement ("Seriousness of the infringement") as low ("low level of seriousness").

Regarding the present facts, furthermore (beyond the criteria already considered for determining the severity according to Art. 83 para. 2 lit. a, b, and g...

GDPR

[Note

Editor:

in the

original

due to

an

obvious

editorial error "Art. 83 para. 1 lit. a, b and g GDPR"] beyond) in the determination of the penalty the following aggravating factors were considered:

☐

n/a

In relation to the present case, the following mitigating factors were also considered in the determination of the penalty:

☐

there are no relevant previous violations of the GDPR against the accused at the data protection authority

☐

the accused has at least cooperated within the framework of the present investigation proceedings and thereby contributed to the establishment of the truth, in particular by not denying the alleged facts or the lack of cooperation in the complaint proceedings and fully admitting her lack of cooperation due to internal deficiencies. The accused showed insight, was remorseful, and made a confession. This was considered as significantly mitigating.

☐

the measures taken by the accused in response to the administrative penalty proceedings and established by the DSB were also taken into account; however, it was particularly to be noted that the introduction of the "security system" for official documents as well as the internal training for the processes have a direct connection to the violation in question. The examination (by external consultants) of the remaining obligations of the accused in her role as the responsible party was not subject to the proceedings or had no direct connection to the violation.

In determining the penalty, considerations of special prevention and general prevention may also be included according to the consistent case law of the VwGH (see VwGH 15.5.1990, 89/02/0093, VwGH 22.4.1997, 96/04/0253, VwGH 29.1.1991, 89/04/0061). The imposition of the specific fine was, in the opinion of the DSB, not necessary in terms of special prevention to deter the accused from committing further criminal acts of the same kind. The DSB assumes, based on the measures presented, that the accused will respond to inquiries from the DSB in the future and will cooperate in the respective proceedings. However, the imposition of the fine was certainly necessary in terms of general prevention to raise awareness among responsible parties and processors, particularly in relation to their obligation to cooperate under Art. 31 GDPR.

The penalty ultimately imposed in the amount of EUR 10,000 appears, therefore, in light of the realized value of the offense, measured against the available penalty range of Art. 83 para. 4 GDPR (here up to EUR 10,000,000) in conjunction with the annual revenue achieved by the accused in the amount of approximately EUR 176 million, to be appropriate in terms of the offense and culpability and is at the lower end of the available penalty range (0.1% of the penalty range!). In this context, it can be noted in conclusion that the DSB, as already indicated above, has determined the severity of the violation as "low" and has also set the starting amount for further calculation at the lower end within this category.